

# Bayway Refining Co. v. Oxygenated Marketing & Trading A.G.

## Citation

*Bayway Refining Co. v. Oxygenated Marketing & Trading A.G.*, 215 F.3d 219 (2d Cir. 2000). United States Court of Appeals for the Second Circuit, argued January 11, 2000, decided June 8, 2000. Judge Jacobs wrote the opinion for a panel that also included Chief Judge Winter and Judge Calabresi. The appeal concerns which party must prove that an additional term in a merchant's confirmation materially alters the contract under UCC § 2-207(2)(b), and what the "surprise or hardship" standard for material alteration requires. [Full judicial opinion](#).

## Parties

Bayway Refining Company, a refiner that sold a gasoline blending component to the defendant, was the plaintiff and appellee. Its corporate parent, Tosco Corporation, joined as a plaintiff and counter-defendant on a related claim about a separate transaction; the district court ruled against Tosco on that claim and Tosco did not appeal, so it played no role in the Second Circuit's analysis. Oxygenated Marketing and Trading A.G. (OMT), the buyer, was the defendant, counterclaimant, and appellant. Bayway sought reimbursement of \$464,035.12 in federal excise tax that it paid on the sale, relying on a tax-allocation clause in its own confirmation. OMT maintained that the clause never became part of the contract because it materially altered the bargain. Both parties were merchants dealing in petroleum products.

## Material Facts

In February 1998 Bayway and OMT agreed by telephone that Bayway would sell OMT 60,000 barrels of methyl tertiary butyl ether (MTBE), a gasoline blendstock. On February 12, 1998, OMT faxed Bayway a confirmation reciting the deal and stating that the document constituted the entire contract. On February 13, 1998, Bayway faxed its own confirmation. Bayway's document stated that, where not in conflict with its specific terms, "Bayway Refining Company's General Terms and Conditions dated March 01, 1994" and Bayway's Marine Provisions were incorporated in full by reference. Paragraph 10 of those General Terms, which the court called the Tax Clause, provided that the buyer "shall pay seller the amount of any federal, state and local excise, gross receipts, import, motor fuel, superfund and spill taxes and all other federal, state and local taxes however designated, other than taxes on income, paid or incurred by seller directly or indirectly with respect to the oil or product sold hereunder."

OMT did not object to Bayway's confirmation or to the incorporated General Terms. OMT took delivery of the MTBE on March 22, 1998. Under 26 U.S.C. § 4081(a)(1)(A)(iv), a sale of taxable fuel to a person who is not registered with the Internal Revenue Service is a taxable event. OMT was not registered, so the sale generated federal excise tax of \$464,035.12, which Bayway paid. Bayway invoked the Tax Clause and demanded that OMT reimburse the tax. OMT refused, contending that the Tax Clause was never part of the parties' agreement. OMT had no prior course of dealing with Bayway that allocated taxes differently. 215 F.3d at 221-22.

### **Procedural History**

Bayway and Tosco sued OMT in the United States District Court for the Southern District of New York under diversity jurisdiction. On Bayway's motion for summary judgment, Judge McKenna held that the Tax Clause was properly incorporated into the contract under UCC § 2-207(2) and entered judgment for Bayway on the tax reimbursement claim. OMT's opposition papers were the first place the material-alteration argument appeared; Bayway answered it with affidavits about petroleum-industry custom submitted with its reply papers, and OMT neither sought leave to file a sur-reply (a further response to a reply brief) nor claimed to have contrary evidence.

OMT appealed. It argued that the Tax Clause materially altered the contract, so that it did not become part of the bargain under § 2-207(2)(b), and that the district court should not have considered custom evidence first offered in reply. OMT also argued, for the first time on appeal, that Bayway's actual acceptance had been a separate broker's confirmation containing no additional terms, and that the integration clause in OMT's own confirmation operated as a notification of objection under § 2-207(2)(c). The Second Circuit reviewed the grant of summary judgment *de novo*, viewing the evidence in the light most favorable to OMT, and declined to reach the two arguments raised for the first time on appeal. *Id.* at 222-23, 227 & *n.2*.

### **Issue**

When a merchant's confirmation adds a term to a contract that the parties had already agreed to orally, and the other merchant contends that the term materially alters the contract under § 2-207(2)(b), which party bears the burden of proving material alteration? Did OMT carry that burden as to the Tax Clause, that is, would incorporating the clause without OMT's express awareness have produced surprise or hardship? Could the district court properly consider industry-custom evidence that Bayway introduced in its reply papers?

### **Rule and Holding**

Between merchants, an additional term in a definite expression of acceptance or a written confirmation becomes part of the contract unless one of the three exceptions in § 2-207(2) applies. Because the statute presumes inclusion, the party that opposes inclusion bears the burden of proving that the term materially alters the contract. A term materially alters the contract if its incorporation without the other party's express awareness would result in surprise or hardship. Surprise has a subjective element, what the objecting party actually knew, and an objective element, what a reasonable merchant in that party's position should have known; the objective element requires proof that a reasonable merchant would not have expected the term, and trade usage and prior course of dealing are the ordinary means of proof.

OMT did not carry that burden. Its executives' actual astonishment established subjective surprise only, and the un rebutted evidence showed that petroleum-industry custom places excise taxes on the buyer, so a reasonable merchant would not have been surprised. Any hardship was limited, routine, and self-inflicted, because OMT could have avoided the tax entirely by registering with the IRS. The Tax Clause therefore became part of the contract, and the district court acted within its discretion in considering evidence that responded to an argument OMT raised for the first time in opposition. *Id.* at 223-27.

### **Judgment**

The Second Circuit affirmed the judgment of the district court. Summary judgment for Bayway stood, leaving OMT liable to reimburse the \$464,035.12 in federal excise tax under the Tax Clause.

## Reasoning

The court began with the structure of § 2-207. Bayway's confirmation was a written confirmation of an existing oral agreement, and the parties agreed that it was not expressly conditional on OMT's assent to the additional terms, so it operated as an acceptance under § 2-207(1) even though it added the Tax Clause. The Tax Clause was therefore a proposal for addition to the contract under § 2-207(2). Because both parties were merchants, the proposal became part of the contract unless the offer expressly limited acceptance to its own terms, the term materially altered the contract, or OMT gave timely notice of objection. Only the material-alteration exception was properly before the court. Official Comment 4 supplies the definition: a material alteration is one that would "result in surprise or hardship if incorporated without express awareness by the other party." *Id.* at 223.

The burden question was one of first impression in the circuit. The court reasoned from the text: § 2-207(2) provides that additional terms "become part of the contract unless" an exception applies, so inclusion is the default and the party invoking an exception must prove it. That allocation matched the weight of authority, including the Tenth Circuit in *Avedon Engineering, Inc. v. Seatex*, the First Circuit in *JOM, Inc. v. Adell Plastics, Inc.*, the Seventh Circuit in *Comark Merchandising, Inc. v. Highland Group, Inc.*, and state courts in Alaska, Indiana, and Washington. A Texas intermediate appellate decision, *Westech Engineering, Inc. v. Clearwater Constructors, Inc.*, had placed the burden on the party seeking inclusion; the Second Circuit declined to follow it. *Id.* at 223-24.

On surprise, the court separated the two elements. OMT's executives described the incorporation of the Tax Clause as a "contract by ambush" and a sleight-of-hand proposal, which sufficed to show subjective surprise. Objective surprise required OMT to show that a reasonable merchant would not have consented to the term, and on that question the record ran the other way. Bayway submitted unchallenged testimony from two industry experts that buyers customarily pay all taxes resulting from a petroleum transaction; one stated that the practice was so universally understood that he could not recall an instance in which a buyer had refused to pay the seller for excise or sales taxes. OMT responded with the standard forms of five other sellers. The court found that the CITGO, Conoco, and Enron forms mirrored the Tax Clause, that Chevron's form differed only by folding the taxes into the contract price rather than itemizing them, and that Texaco's form was silent, which on an unrebutted record of universal custom supported no contrary inference. OMT had no prior course of dealing with Bayway to the contrary, and conclusory assertions of surprise could not defeat summary judgment. *Id.* at 224-25.

On hardship, OMT argued that it was a small business operating on precarious margins and could not absorb a loss of this size. The court found that the cry of hardship rang hollow. The Tax Clause placed on the buyer a responsibility tied to a specific sale of goods, one at least not uncommon in the industry, and one the buyer could have avoided by registering with the IRS; any loss the clause imposed was therefore limited, routine, and self-inflicted. Quoting Judge Posner in *Union Carbide Corp. v. Oscar Mayer Foods Corp.*, 947 F.2d 1333 (7th Cir. 1991), the court noted the view that hardship is a consequence of a material alteration rather than an independent criterion, and that a party cannot walk away from a contract it fairly agreed to merely because performance turns out to be a hardship. The court did not decide whether hardship can ever establish material alteration without surprise, because OMT failed under either reading. *Id.* at 225-26.

Finally, the court rejected OMT's procedural objection. A district court has discretion to consider reply evidence that addresses new material issues raised in the opposition papers, so as to avoid giving the answering party an unfair advantage. OMT had introduced the material-alteration theory in opposition, had

## Bayway v. OMT (continued)

itself asserted that Bayway offered no evidence of custom, and had never moved for leave to file a sur-reply or identified contrary evidence. *Id.* at 226-27.

### Separate Opinions

The panel was unanimous. The reported decision contains no concurrence or dissent.

### Notes

*Bayway* supplies the Second Circuit's rule on the burden of proof under § 2-207(2)(b) and a working definition of surprise as both subjective and objective. The objective element does the real work: a merchant who is astonished by a term still loses if trade usage shows that a reasonable merchant would have expected it. The case also shows how the material-alteration inquiry is proved. Bayway won on affidavits about industry custom; OMT lost because its competing forms confirmed the custom rather than undermining it.

Two limits deserve attention. The holding rests on an unrebutted record of universal trade custom; the court did not hold that tax-allocation clauses are immaterial as a matter of law. And the court never decided whether hardship alone can make a term material, so *Bayway* should not be cited for either answer to that question. The forfeited arguments are instructive as well. OMT's own confirmation contained an integration clause, and OMT's first-in-time confirmation might have been characterized as an offer that expressly limited acceptance to its own terms under § 2-207(2)(a) or as a notification of objection under § 2-207(2)(c); those routes were lost because OMT did not raise them in the district court. Compare *Dorton*, which treats material alteration as a factual question, and *Northrop*, which addresses different rather than additional terms.

# Northrop Corp. v. Litronic Industries

## Citation

*Northrop Corp. v. Litronic Industries*, 29 F.3d 1173 (7th Cir. 1994). United States Court of Appeals for the Seventh Circuit, Nos. 93-3912 and 93-4000, argued May 17, 1994, decided July 18, 1994. Chief Judge Posner wrote the opinion for a panel that included Judge Ripple and Judge Hill of the Eleventh Circuit, sitting by designation. Judge Ripple concurred separately. The case concerns what happens under UCC § 2-207 when a term in the acceptance conflicts with, rather than adds to, a term in the offer. [Full judicial opinion](#).

## Parties

Northrop Corporation, a large defense contractor that builds weapons systems incorporating electronic components, was the buyer, the plaintiff below, and the appellee and cross-appellant. Litronic Industries, a much smaller manufacturer of electronic components including printed wire boards, was the seller, the defendant below, and the appellant and cross-appellee. Northrop sought to recover what it had paid for boards that failed inspection. Litronic contended that its 90-day warranty governed the sale and had expired before Northrop rejected the boards. Both parties were merchants, and Illinois law governed the diversity action.

## Material Facts

In 1987 Northrop solicited bids for four customized printed wire boards, designated the 1714 board, for use in a defense system. Litronic mailed an offer to sell four boards at \$19,000 each with delivery in six weeks. The offer stated a 90-day warranty that was to be in lieu of any other warranties, and it provided that Litronic's terms would take precedence over any terms proposed by the buyer. Northrop's purchasing officer, Lynch, telephoned Litronic's representative, Lair, and said that Northrop accepted the offer up to the limit of his authority, \$24,999, and that a formal purchase order for all four boards would follow. Lynch said enough on the phone to make clear that Northrop's acceptance carried terms different from Litronic's. About a month later Lynch sent a "turn on" letter authorizing production and again promising a purchase order, which arrived some months after that. Northrop's purchase-order form called for a written acknowledgment from the seller and contained a warranty with no time limit.

The first three boards were delivered in July 1988, more than a year after the telephone call. Northrop's testing was protracted. After five or six months, in December 1988 and January 1989, Northrop concluded that the boards were defective and tried to return them. Litronic refused to take them back on the ground that its 90-day warranty had lapsed. *29 F.3d at 1174-76*.

## Procedural History

Northrop sued Litronic in federal district court in Illinois under diversity jurisdiction, and the case was tried before a magistrate judge. The magistrate judge held that the conflicting warranty terms in the offer and the acceptance cancelled each other under § 2-207 and that the Code's gap-filling provision, § 2-309, supplied a reasonable time in their place; found that six months was reasonable because of the complexity of the testing the boards required; and entered judgment for Northrop for \$58,000, the amount Northrop had paid for the three delivered boards. The magistrate judge disbelieved Northrop's claim that it had returned other defective boards and denied recovery for boards that Northrop had neither returned nor accounted for.

Litronic appealed, arguing that its 90-day warranty controlled and that Northrop's rejection came too late. Northrop cross-appealed, arguing that it had in fact returned the other boards and, alternatively, that § 2-711(3) entitled it to hold rejected goods as security for its damages without returning them. The factual

findings were reviewed for clear error. The § 2-207 question was unsettled under Illinois law, so the Seventh Circuit had to predict how the Illinois Supreme Court would resolve it, the standard task of a federal court applying state law under *Erie*. *Id.* at 1176-77.

### Issue

Section 2-207(1) makes a response an acceptance even though it states terms "additional to or different from" those offered, but § 2-207(2) explains what happens only to "additional" terms. When the acceptance contains a term that conflicts with a term in the offer, does the offeror's term control, does the different term drop out under the materiality analysis of § 2-207(2), or do both conflicting terms fall away and yield to the Code's gap-fillers? Which rule would Illinois adopt, and under that rule did Northrop's rejection five or six months after delivery come within the warranty? On the cross-appeal, may a buyer keep rejected goods as security under § 2-711(3) without accounting for them?

### Rule and Holding

Illinois would follow the majority rule: when the offer and the acceptance contain conflicting terms, the discrepant terms cancel each other out and the Code's gap-filling provisions supply the missing term. This approach is commonly called the knockout rule, a standard label in the case law and treatises, though the opinion itself does not use the phrase. Litronic's 90-day warranty and Northrop's unlimited warranty were materially different, so both dropped out, and § 2-309's reasonable-time standard governed. The finding that six months was reasonable for these boards was not clearly erroneous, so Northrop's rejection was timely.

On the cross-appeal, a buyer who rightfully rejects goods holds a security interest in them under § 2-711(3) and may hold or resell them, but a buyer that neither returns the goods nor explains what became of them cannot recover their price, because the omission leaves open the inference of a double recovery. *Id.* at 1177-80.

### Judgment

The Seventh Circuit affirmed the judgment in full: \$58,000 to Northrop for the three boards it had paid for, and no recovery for the boards it had not returned or accounted for.

### Reasoning

Judge Posner opened with the problem § 2-207 was written to solve. Under the common-law mirror-image rule, any discrepancy between the forms prevented the offeree's response from operating as an acceptance, so an exchange of nonmatching boilerplate, the situation commercial lawyers call the battle of the forms, produced no contract until performance. Section 2-207(1) lets a response operate as an acceptance despite additional or different terms, and § 2-207(2) then decides which additional terms enter the contract. The drafting gap is that subsection (2) says nothing about different terms. Official Comment 3 states that whether additional or different terms become part of the agreement depends on subsection (2), and the drafting history suggests that the omission of "or different" from subsection (2) may have been an error. *Id.* at 1174-75, 1177-78.

Three views have developed. Under the first, followed by California in *Steiner v. Mobil Oil Corp.*, 20 Cal. 3d 90 (1977), different terms are treated exactly like additional terms, so the question is simply whether the term materially alters the contract. Posner called this possibly the most sensible approach, because every different term is additional and every additional term is different, and a manageable inquiry into materiality replaces hair-splitting over which label applies. Under the second, which he called the leading minority view and

which the Fourth Circuit applied in *Valtrol, Inc. v. General Connectors Corp.*, 884 F.2d 149 (4th Cir. 1989), the discrepant terms in the acceptance are ignored, so the offeror's terms control. Under the third, the majority view, applied by the Tenth Circuit in *Daitom, Inc. v. Pennwalt Corp.*, 741 F.2d 1569 (10th Cir. 1984), and by courts in North Dakota and Michigan, the discrepant terms fall out and a suitable UCC gap-filler takes their place. *Id. at 1178.*

Posner evaluated the competing rules without adopting any as his own. The minority view may tempt the offeror to spring a surprise on the offeree, because the offeror's boilerplate prevails even when the offeree's response signals that it does not accede to those terms. The offeror also goes first and has a little more time for careful specification, and an offeror that wants to do business only on its own terms can protect itself by specifying that the offeree must accept all of them. Posner declared none of the three rules correct; the court's task was to predict Illinois law, and Judge Ripple's concurrence added that the policy choice among the views belongs to the states and to the drafting committee then revising Article 2.

Because the question was one of Illinois law, the court reasoned as a predictor. Illinois had not resolved the issue, but its courts in other UCC cases had tended to adopt majority rules, as in *Rebaque v. Forsythe Racing, Inc.*, and the Illinois Appellate Court in *Tecumseh International Corp. v. City of Springfield* had recognized that an offeror may condition acceptance on compliance with all of its terms. The Code's own goal of uniformity among the states pointed the same way. The court therefore began with a presumption that Illinois would adopt the majority view and found nothing to rebut it. *Id. at 1178-79.*

Applying the rule, the court found that the unlimited warranty in Northrop's acceptance was materially different from the 90-day warranty in Litronic's offer. Lynch had not made the broader warranty a condition of acceptance, so the expressly-conditional proviso of § 2-207(1) was not in play, and the limit on Lynch's authority, once satisfied, dropped out of the analysis. Under the majority view both warranty terms vanished, and § 2-309, which requires action within a reasonable time when the parties have not agreed on a period, filled the gap. The magistrate judge's finding that six months was reasonable in light of the complex testing these custom boards required was not clearly erroneous. Northrop thus received, in Posner's words, not the unlimited warranty its purchase order provided but a warranty of reasonable duration, "courtesy the court." The court noted that the exchange could instead be analyzed under § 2-207(3) as a contract formed by conduct with terms supplied by the Code, but that route led to the same result and was not considered separately. *Id. at 1179-80.*

On the cross-appeal, § 2-711(3) gives a buyer who rightfully rejects goods a security interest in goods in its possession or control and permits the buyer to hold or resell them. That interest does not excuse the buyer from explaining what became of the goods. If the buyer does not return defective goods, it must account for them to dispel any inference that it is seeking a double recovery, and Northrop offered no explanation of what happened to the boards it kept. *Id. at 1176-77.*

### Separate Opinions

Judge Ripple concurred. He joined the judgment and agreed that the majority view was the correct prediction of Illinois law, but he declined to express an institutional view about which reading of § 2-207 is best. In his view that question belongs to the state courts and to the National Conference of Commissioners on Uniform State Laws, whose drafting committee was then considering changes to § 2-207 intended to eliminate the battle of the forms, and federal judges with views on the subject should offer them in that process rather than in opinions predicting state law.

### Notes

The choice of rule determined the outcome. Under the minority view, Litronic's 90-day warranty in the offer would have controlled and Northrop's rejection would have been late. Under the California view, Northrop's unlimited warranty would have been a material alteration that failed to enter the contract, again leaving Litronic's 90-day term in place. Only the knockout rule removed both terms and let the Code's reasonable-time standard rescue Northrop. A brief that says the court simply preferred the majority rule misstates the reasoning: Posner thought the California approach most sensible and applied the majority rule because he predicted that Illinois would.

Two further points connect the case to the rest of the assignment. First, the additional-versus-different distinction must be drawn before § 2-207(2) is applied in a majority-rule jurisdiction; in *Bayway* the Tax Clause was analyzed as an additional term, so the knockout rule never arose. Second, Official Comment 6 states that where clauses on confirming forms conflict, each party is assumed to object to the other's clause and the conflicting terms do not become part of the contract; courts adopting the knockout rule frequently cite that comment, although Posner's opinion rested on the case law and the Code's uniformity policy rather than on Comment 6.



# Hill v. Gateway 2000, Inc.

## Citation

*Hill v. Gateway 2000, Inc.*, 105 F.3d 1147 (7th Cir. 1997), *cert. denied*, 522 U.S. 808 (1997). United States Court of Appeals for the Seventh Circuit, No. 96-3294, argued December 10, 1996, decided January 6, 1997; rehearing and rehearing en banc denied February 3, 1997. Judge Easterbrook wrote the opinion for a panel that included Judges Cummings and Wood. The case concerns whether terms shipped inside the box with a computer, including an arbitration clause, bind a consumer who keeps the machine beyond the stated return period. [Full judicial opinion](#).

## Parties

Rich and Enza Hill, who bought a Gateway computer by telephone, were the plaintiffs and appellees. They sued on behalf of a class of similarly situated purchasers and wanted their claims heard in court. Gateway 2000, Inc., a direct seller of personal computers by telephone and mail order, and David Prais, an individual defendant whose role the opinion does not describe, were the defendants and appellants. Gateway sought to enforce the arbitration clause included in the terms shipped with the computer.

## Material Facts

The Hills ordered a Gateway computer by telephone and gave a credit card number. A box arrived containing the computer, software, and a four-page statement of terms that, by its own words, governed unless the customer returned the computer within 30 days. One of the terms was an arbitration clause. Gateway's advertisements stated that its products came with limited warranties and lifetime support. The Hills kept the computer more than 30 days before complaining about its components and performance. They conceded noticing the statement of terms but denied reading it closely enough to discover the agreement to arbitrate. The box did not display a notice that additional terms were inside. *105 F.3d at 1148, 1150*.

## Procedural History

The Hills sued Gateway in federal district court in Illinois. They alleged that the product's shortcomings made Gateway a racketeer, with mail and wire fraud as the predicate offenses, and sought treble damages under the Racketeer Influenced and Corrupt Organizations Act (RICO) for themselves and a class of all other purchasers. Gateway moved to enforce the arbitration clause under the Federal Arbitration Act. The district court refused, finding that the record was insufficient to support a valid arbitration agreement between the parties or to show that the plaintiffs had been given adequate notice of the arbitration clause. Gateway took an interlocutory appeal, an appeal before final judgment, under 9 U.S.C. § 16(a)(1)(A), which permits immediate review of an order refusing to compel arbitration. *Id. at 1148*.

## Issue

Did the Hills accept Gateway's terms, including the arbitration clause, by keeping the computer beyond the 30-day return period, so that the Federal Arbitration Act requires enforcement of the clause? Does the approach of *ProCD, Inc. v. Zeidenberg*, 86 F.3d 1447 (7th Cir. 1996), extend beyond software and beyond contracts that remain to be performed on both sides? Does UCC § 2-207 govern a transaction in which only one party's form exists? Does the Magnuson-Moss Warranty Act, or any requirement that an arbitration clause be conspicuous or disclosed before the sale, defeat the clause?

### **Rule and Holding**

A vendor, as master of the offer, may invite acceptance by conduct and may propose limitations on the kind of conduct that constitutes acceptance. A buyer who receives goods together with terms, has the opportunity to read the terms and return the goods, and instead keeps them past the stated period accepts the terms; competent adults are bound by such documents whether or not they read them. That rule concerns contract formation generally, not software, and it applies to a transaction in which the buyer pays before seeing the full terms. Section 2-207 has no application when there is only one form. The Magnuson-Moss Warranty Act does not require a seller to recite its terms before the sale, and the Federal Arbitration Act forbids any special requirement that an arbitration clause be prominent. By keeping the computer beyond 30 days, the Hills accepted Gateway's offer, including the arbitration clause. *Id. at 1148-51.*

### **Judgment**

The Seventh Circuit vacated the district court's decision and remanded with instructions to compel the Hills to submit their dispute to arbitration.

### **Reasoning**

The Federal Arbitration Act requires courts to enforce an agreement to arbitrate "save upon such grounds as exist at law or in equity for the revocation of any contract," and the Hills' argument that the arbitration clause did not stand out was not such a ground. Whether a contract including the clause was formed depended on ordinary contract law, which the court took to be the same in Illinois and South Dakota, the two states whose law might govern. *Id. at 1148.*

The court treated *ProCD* as controlling. *ProCD* held that a vendor may propose that a contract be formed only after the customer has had a chance to inspect both the product and the terms, with retention as acceptance and return as rejection; the software buyer there was bound by a license inside the box because he used the product after reading the terms. Gateway shipped computers with the same accept-or-return offer that *ProCD* made. A contract need not be read to be effective. Payment before the disclosure of full terms is common for air travel, insurance, and many other transactions, and *Carnival Cruise Lines, Inc. v. Shute*, 499 U.S. 585 (1991), enforced a forum-selection clause printed among three pages of terms attached to a cruise ticket. Practical considerations pointed the same way: if a telephone sales representative had to read a four-page statement of terms before taking a credit card number, "the droning voice would anesthetize rather than enlighten many potential buyers," and customers would simply hang up. *Id. at 1148-49.*

The Hills offered several distinctions, each of which the court rejected. To the argument that *ProCD* was limited to software, the court answered that "ProCD is about the law of contract, not the law of software," and that Gateway's box was in any event crammed with software. To the argument that *ProCD* applied only to executory contracts, those with performance still owed on both sides, the court answered that the objection was legally wrong because the question was formation rather than performance, and factually wrong because both contracts were incompletely performed: Gateway's warranty and lifetime-support promises bound it to future performance that consumers value. To the argument that a merchant must give notice of terms before the sale, the court observed that Gateway's advertisements told buyers the products came with limited warranties and lifetime support, and that how limited the warranty was, and what support was offered, could be learned only from the terms. It identified three ways shoppers learn the terms of direct-sale goods. They can ask the vendor to send the terms before deciding whether to buy; the Magnuson-Moss Warranty Act requires firms to distribute their warranty terms on request, and the Hills did not contend that Gateway would have refused to enclose its remaining terms as well. They can consult public sources such as computer

magazines and vendors' Web sites. Or they can inspect the documents after delivery and return the product if the terms are unacceptable. The Hills took the third route and were bound by its outcome. *Id.* at 1149-50.

The court held that the Hills' reliance on § 2-207 was misplaced: the battle-of-the-forms provision addresses conflicting forms exchanged by two parties, and when there is only one form, § 2-207 is irrelevant, as *ProCD* had already concluded. It also rejected the argument that the arbitration clause had to be prominent. Under *Doctor's Associates, Inc. v. Casarotto*, 517 U.S. 681 (1996), the Federal Arbitration Act is inconsistent with any requirement that an arbitration clause be singled out for special notice; the terms inside Gateway's box stand or fall together. The Hills' final distinction, raised at oral argument, was that *ProCD*'s box announced that terms were inside while Gateway's did not. The court found that difference functional rather than legal: a notice on the box serves shoppers browsing store shelves, while a telephone buyer has already ordered before seeing the box and receives the terms with the product, together with the return period in which to evaluate them. *Id.* at 1150.

As to the fraud allegations, *Prima Paint Corp. v. Flood & Conklin Manufacturing Co.*, 388 U.S. 395 (1967), sends a claim that the contract as a whole was induced by fraud to the arbitrator; only a claim that the arbitration clause itself is unenforceable as part of a scheme to defraud is for the court, and the Hills made no such claim. RICO claims are no less arbitrable than claims in contract or tort. Whatever may be said for or against the cost and efficacy of arbitration was, in the court's view, for Congress and the contracting parties to weigh. *Id.* at 1151.

### Separate Opinions

The panel was unanimous. The reported decision contains no concurrence or dissent.

### Notes

*Hill* extends *ProCD* from a software license read before use to a consumer goods transaction in which the buyer pays by telephone and first sees the terms on delivery. The literature calls this structure a rolling contract or a "money now, terms later" transaction; those are commentators' labels, and the opinion itself speaks of an accept-or-return offer. The holding rests entirely on formation. Easterbrook treated the vendor as the offeror, retention past the return period as acceptance, and § 2-207 as inapplicable; the substance of the arbitration clause, including its cost and forum, was not examined, and no unconscionability argument was presented.

The case has been contested on each of those steps. *Klocek v. Gateway, Inc.*, 104 F. Supp. 2d 1332 (D. Kan. 2000), rejected the premise that the vendor is the offeror and held that § 2-207 applies to a single form, reading Official Comment 1 to cover a written confirmation that follows an earlier agreement. *Brower v. Gateway 2000, Inc.*, 246 A.D.2d 246 (N.Y. App. Div. 1998), followed *Hill* on formation but held the same clause's arbitration-cost provisions unconscionable. Restatement of the Law, Consumer Contracts § 2(b) accepts post-assent terms only if the business gave notice of them before the consumer assented and the consumer could terminate without unreasonable cost, loss of value, or personal burden; on the Hills' facts the reasonableness of Gateway's pre-sale notice and of a 30-day return window would be contested questions rather than settled ones.

# Klocek v. Gateway, Inc.

## Citation

*Klocek v. Gateway, Inc.*, 104 F. Supp. 2d 1332 (D. Kan. 2000). United States District Court for the District of Kansas, No. 99-2499-KHV, memorandum and order of June 15, 2000, by Judge Kathryn H. Vratil. The action was later dismissed for lack of subject-matter jurisdiction in a motion the plaintiff joined, *Klocek v. Gateway, Inc.*, 2000 WL 1372886 (D. Kan.), so the ruling was never reviewed on appeal. The decision addresses whether standard terms shipped in the box with a computer, including an arbitration clause, bound a consumer who kept the computer more than five days. [Full judicial opinion](#).

## Parties

William S. Klocek, an individual consumer who represented himself (pro se), was the plaintiff. Gateway, Inc., which sold him a computer, and Hewlett-Packard, Inc., which made a scanner he bought to use with it, were the defendants. Gateway sought dismissal and an order compelling arbitration under paragraph 10 of its Standard Terms and Conditions Agreement. Hewlett-Packard moved to dismiss for lack of subject-matter jurisdiction. Klocek sought damages, individually and for a class, for products that did not work as promised and for false promises of technical support.

## Material Facts

Klocek's complaint stated that he lived in Missouri. Gateway's affidavit said only that it shipped a computer to him on or about August 31, 1997. Klocek responded that he bought the computer in person at Gateway's store in Overland Park, Kansas, on August 27, 1997, and took it with him. The box contained the computer, a battery, power cables, instruction manuals, and Gateway's Standard Terms and Conditions Agreement, a four-page document with sixteen numbered paragraphs. At the top of the first page, in emphasized type inside a printed box, a notice stated: "This document contains Gateway 2000's Standard Terms and Conditions. By keeping your Gateway 2000 computer system beyond five (5) days after the date of delivery, you accept these Terms and Conditions." Paragraph 10, headed Dispute Resolution, provided that any dispute or controversy arising out of or relating to the agreement or its interpretation would be settled exclusively and finally by arbitration under the Rules of Conciliation and Arbitration of the International Chamber of Commerce, conducted in Chicago, Illinois, before a sole arbitrator, with any award final and binding.

Gateway offered no evidence that at the time of the sale it told Klocek about the Standard Terms, the five-day review period, or the arbitration clause; its evidence showed only that it enclosed the document in the box for him to read afterwards. Klocek alleged that Gateway induced him and other consumers to buy computers and support packages through false promises of technical support, and individually claimed breach of contract and breach of warranty on the ground that the computer was not compatible with standard peripherals and Internet services as warranted. Against Hewlett-Packard he alleged a breach of the duty to warn that its scanner was incompatible with Gateway computers. *104 F. Supp. 2d at 1334-35, 1337.*

### **Procedural History**

Klocek filed in the District of Kansas under diversity jurisdiction. Gateway moved on November 22, 1999, to dismiss and to compel arbitration under the Federal Arbitration Act, 9 U.S.C. §§ 3-4. Hewlett-Packard moved separately to dismiss for lack of subject-matter jurisdiction because the damages alleged against it did not satisfy the \$75,000 amount-in-controversy requirement. Klocek filed motions of his own, including for class certification and sanctions. The court applied a standard similar to summary judgment: Gateway bore an initial burden to show an enforceable agreement to arbitrate, and only if it met that burden would the burden shift to Klocek to show a genuine issue of fact for trial. The court could not tell from the record whether Kansas, Missouri, or some other state's law governed formation, but found no material difference between Kansas and Missouri law because both states had adopted the relevant provisions of UCC Article 2. *Id.* at 1335-37.

### **Issue**

Did Klocek agree to the arbitration clause in the Standard Terms? Answering that question required the court to decide whether the Seventh Circuit's approach in *Hill* and *ProCD* should be followed; whether § 2-207 applies to a transaction in which only one party's form exists; which party was the offeror; whether Gateway's acceptance was expressly conditional on assent to the Standard Terms; and whether a buyer who is not a merchant expressly assents to additional terms by keeping the goods beyond a stated period.

### **Rule and Holding**

Whether the parties agreed to arbitrate is governed by ordinary state contract law, and the party seeking arbitration must prove the agreement. In a typical consumer transaction the purchaser is the offeror and the vendor accepts by completing the sale or shipping the goods. Terms shipped with the goods are additional terms in an expression of acceptance or a written confirmation, and § 2-207 applies even though only one form exists. An acceptance is expressly conditional under § 2-207(1) only if it clearly tells the offeror that the offeree is unwilling to proceed unless the additional terms are included. Where the buyer is not a merchant, additional terms are proposals that become part of the contract only if the buyer expressly agrees to them, and express assent cannot be presumed from silence or a failure to object.

Gateway offered no evidence that it, rather than Klocek, made the offer; no evidence that it conditioned the sale on acceptance of the Standard Terms; and no evidence that Klocek expressly agreed to them. Keeping the computer beyond five days did not demonstrate express agreement on this record. Gateway therefore failed to carry its burden of proving an agreement to arbitrate. *Id.* at 1337-41.

### **Judgment**

The court overruled Gateway's motion to dismiss and compel arbitration. It sustained Hewlett-Packard's motion and dismissed the claims against it for lack of subject-matter jurisdiction, and it overruled Klocek's own motions. Gateway was given until June 30, 2000, to file a supplemental motion if it contended that some law other than that of Kansas or Missouri governed formation, with a response due July 24 and a reply due August 7, 2000, and the court reserved the possibility of a jury trial on whether an arbitration agreement existed.

## Reasoning

The court started from the Federal Arbitration Act's framework. Federal policy favors arbitration and resolves doubts about the scope of arbitrable issues in its favor, but whether an agreement to arbitrate exists is decided under ordinary state-law principles of contract formation, and the party seeking arbitration bears a summary-judgment-like burden of proving that agreement. Gateway rested its motion on *Hill* and *ProCD*. *Id.* at 1336-38.

Judge Vratil examined those cases and declined to follow them. In each, the Seventh Circuit had concluded without support that § 2-207 was irrelevant because only one written form was involved, and it had provided no explanation for its conclusion that the vendor is the master of the offer. Neither conclusion, the court found, is supported by the statute or by Kansas or Missouri law. By its terms § 2-207 applies to "an acceptance or written confirmation" and says nothing that requires a second form; Official Comment 1 states that the section applies where an agreement has been reached orally and is followed by one or both parties sending formal memoranda that add terms. Other courts had treated terms shipped with goods the same way: *Step-Saver Data Systems, Inc. v. Wyse Technology*, 939 F.2d 91 (3d Cir. 1991), held that box-top license terms were proposals under § 2-207 that required the buyer's express assent because the contract had already been formed by the parties' conduct; *Arizona Retail Systems, Inc. v. Software Link, Inc.*, 831 F. Supp. 759 (D. Ariz. 1993), treated a license shipped with software as a proposed modification requiring express assent; and *U.S. Surgical Corp. v. Orris, Inc.*, 5 F. Supp. 2d 1201 (D. Kan. 1998), held that a single-use restriction on packaging that arrived after the sales contract was formed was a proposed modification needing the buyer's agreement. *Id.* at 1338-40.

The court then identified the offeror. In typical consumer transactions the purchaser is the offeror and the vendor the offeree, as in *Brown Machine, Division of John Brown, Inc. v. Hercules, Inc.*, 770 S.W.2d 416 (Mo. Ct. App. 1989), and *Rich Products Corp. v. Kemutec, Inc.*, 66 F. Supp. 2d 937 (E.D. Wis. 1999). A vendor can be the offeror in a particular transaction, but Gateway offered no factual evidence supporting that characterization here. The court therefore assumed that Klocek offered to buy the computer, in person or by order, and that Gateway accepted by completing the sale or shipping the goods. Under § 2-207(1) the Standard Terms were either an expression of acceptance or a written confirmation containing additional terms. Gateway's acceptance was not expressly conditional on assent to those terms: a conditional acceptance must clearly express the offeree's unwillingness to proceed unless the additional terms are included, and shipping the goods with the terms attached did not communicate any unwillingness to proceed without Klocek's agreement. Gateway also offered no evidence that at the time of the sale it told Klocek the transaction was conditioned on acceptance of the Standard Terms. *Id.* at 1340-41.

Because Klocek was not a merchant, § 2-207(2) treated the additional terms, including arbitration, as proposals that became part of the contract only if he expressly agreed to them. Gateway argued that the five-day notice made retention of the computer an acceptance of the terms. The court disagreed on this record. Express assent cannot be presumed from silence or a mere failure to object; Gateway's evidence showed only that it enclosed the Standard Terms for Klocek to read after the purchase, with no evidence that the parties discussed additional terms or that Klocek was told the five-day review period was a condition of the sale. Keeping the computer past five days was therefore insufficient to show that Klocek expressly agreed to the Standard Terms, and Gateway had not shown an enforceable agreement to arbitrate. Because Gateway had not addressed choice of law, the court allowed it to renew the motion if it contended that another state's law would produce a different result. *Id.* at 1341.

## Klocek v. Gateway (continued)

Hewlett-Packard's motion succeeded on a separate ground: the damages alleged against it fell short of the \$75,000 required for diversity jurisdiction, and the complaint did not support a punitive award large enough to close the gap. *Id.* at 1342.

### Separate Opinions

A single district judge decided the motions. The reported decision contains no separate opinion.

### Notes

*Klocek* and *Hill* involve the same seller, materially similar documents, and opposite results, and the divergence turns on two framing choices. First, who made the offer: *Hill* treats the vendor as master of the offer, while *Klocek* applies the default that the purchaser offers and the vendor accepts by shipping. Second, what body of law governs the terms that arrive with the goods: *Hill* excludes § 2-207 because there is one form, while *Klocek* applies it as written and reads Comment 1 to cover confirmations that follow an earlier agreement. Once *Klocek*'s framing is accepted, the consumer's status as a non-merchant makes the box terms proposals requiring express assent, and retention alone does not supply it.

The holding is narrower than it is sometimes described. The court decided that Gateway failed to prove its case on this record; a vendor that shows it disclosed the terms and the review period at the point of sale, or that it was the offeror, could reach a different outcome under the same framework. The Restatement of the Law, Consumer Contracts § 2(b) adopts a rule between the two cases: it permits terms delivered after assent to be adopted, as *Hill* does, but only if the business proves that it gave the consumer notice of those terms before assent and a reasonable opportunity to review and terminate afterward, a burden that resembles the one Gateway failed to carry in *Klocek*.

# Restatement of the Law, Consumer Contracts § 2(b) and (c)

## Sources

Restatement of the Law, Consumer Contracts § 2 (Am. L. Inst. 2024). The American Law Institute's membership approved the Restatement at its May 2022 Annual Meeting, subject to minor revisions, and the Institute published it in 2024. The abbreviation RLCC (sometimes RCC) is a citation convention rather than an official title. Like other Restatements, it describes common-law rules and is persuasive authority unless a court adopts it. Section 2 governs when standard contract terms are adopted as part of a consumer contract: subsection (a) covers terms made available before the consumer assents, subsection (b) covers terms first made available afterward, and subsection (c) states the consequence when some terms are not adopted. The text summarized below is the published black-letter as reproduced in secondary sources; the assigned casebook excerpt governs for class. [ALI publication notice](#); [ALI Adviser summary of § 2](#).

## Definitions and Baseline Rule

Section 1 supplies the vocabulary. In substance, a consumer contract is a contract between a business and a consumer, a consumer is an individual who transacts primarily for personal, family, or household purposes, and a standard contract term is a term drafted in advance for use in multiple transactions rather than negotiated with the particular consumer. Reasonableness under the Restatement is judged on the totality of the circumstances. These definitions mark the boundary of the section: the merchant-to-merchant exchanges in *Bayway*, *Northrop*, *Dorton*, and *C. Itoh* fall outside it, while the consumer purchases in *Hill* and *Klocek* fall within it.

Subsection (a) states the baseline. A standard term is adopted if the business demonstrates that the consumer manifested assent to the transaction after receiving reasonable notice of the term and of the intent to include it in the contract, together with a reasonable opportunity to review it. Two features carry through the rest of the section. The business bears the burden of proof, and adoption of a term is analyzed separately from assent to the transaction as a whole.

## Subsection (b): Terms Made Available After Assent

Subsection (b) addresses the transaction in *Hill* and *Klocek*: the consumer pays or otherwise assents first and sees the standard terms only later. A term that is available for review only after the consumer manifests assent is adopted if the business demonstrates three things. First, before manifesting assent, the consumer received reasonable notice that a standard term would be provided later and would be part of the contract, informing the consumer of the opportunity to review it and to terminate the contract, and explaining that a failure to terminate would result in adoption of the term. Second, after manifesting assent, the consumer received a reasonable opportunity to review the term. Third, after the term was made available, the consumer received a reasonable opportunity to terminate the transaction without unreasonable cost, loss of value, or personal burden, and did not exercise that power.

Each element responds to a criticism of *Hill*. The first element requires pre-assent notice of the existence of later terms and of the consequence of keeping the goods; *Hill* required no such notice and treated advertisements mentioning a limited warranty and the availability of terms on request as sufficient. The third element makes the exit route substantive: a return window that is too short, or that imposes restocking fees, return shipping, or loss of value, does not satisfy it. Under this test Gateway would have failed on the *Klocek* record, because it offered no evidence of any notice at the point of sale, and would have faced contested questions on the *Hill* record about the adequacy of its pre-sale notice and the cost of returning a computer within 30 days.



The subsection also departs from *Klocek*. That decision required a non-merchant buyer's express assent to terms arriving with the goods and refused to infer assent from retention. Subsection (b) permits adoption through retention, provided the business proves the notice and termination conditions. The Restatement thus accepts the accept-or-return structure in principle and regulates its conditions, rather than rejecting it as *Klocek* did or accepting it without conditions as *Hill* did.

### **Subsection (c): Contract Without the Unadopted Terms**

Subsection (c) answers the question that § 2-207(3) answers for merchants: what happens when a contract exists but some proposed terms did not make it in. If the consumer manifests assent to the transaction, the contract is not rendered unenforceable because some standard terms were not adopted under subsections (a) and (b). The contract's terms are those adopted under (a) and (b); any unadopted standard terms that the consumer elects to invoke; any terms, standard or not, to which both parties actually agreed; and terms supplied or incorporated by law.

Three consequences follow. The business cannot escape the bargain by arguing that its own terms failed; the failure of a standard term never voids the transaction. The consumer's election is one-directional: a consumer may choose to rely on an unadopted term that is favorable, such as a warranty or service promise, while the business cannot invoke an unadopted term against the consumer. And the gap left by an unadopted term is filled by law, so an arbitration clause that fails under (b) leaves the parties in court, and a failed warranty disclaimer leaves the implied warranties of Article 2 in place.

### **Application**

Begin by confirming that the contract is a consumer contract and that the disputed term is a standard term. Then locate the moment of assent and ask whether the term was available before it. If it was, apply subsection (a): reasonable notice of the term and of the intent to include it, and a reasonable opportunity to review. If it was not, apply subsection (b) element by element, keeping the burden on the business: pre-assent notice of later terms and of the review-and-terminate mechanism; a post-assent opportunity to review; and an opportunity to terminate without unreasonable cost, loss of value, or personal burden that the consumer did not use. If any element fails, subsection (c) governs: the contract survives, the term drops out unless the consumer elects it, and the law supplies whatever the term would have covered.

Suppose a consumer orders a laptop by telephone, is told nothing about terms, and finds a five-day return notice and an arbitration clause in the box. Under subsection (b) the business cannot show pre-assent notice, so the arbitration clause is not adopted, and under subsection (c) the sale stands with disputes resolved in court. Suppose instead that the order confirmation states that terms will be enclosed, that the consumer may return the laptop within 30 days at the business's expense for a full refund, and that keeping it adopts the terms. The first element is met, and the case turns on whether the review and termination opportunities were reasonable in the circumstances, including any cost or burden of the return.

## UCC § 2-207: Additional and Different Terms

### Sources

UCC § 2-207 and its Official Comments 1 through 7, with §§ 2-104, 2-206, and 2-309 as supporting provisions. The earlier note on §§ 2-204 through 2-207 in this packet introduces the section; this note works through the four questions the assigned cases raise: who must prove material alteration and what surprise and hardship mean (*Bayway*); how different terms are treated (*Northrop*); whether the section applies when only one form exists (*Hill* and *Klocek*); and how the merchant rule changes the analysis for consumers (*Klocek*). The text reproduced by Cornell is the model Code; the enacted version of the governing state controls an actual dispute, and the cases applied New York (*Bayway*), Illinois (*Northrop*), Illinois or South Dakota (*Hill*), and Kansas or Missouri (*Klocek*) law. [§ 2-207](#); [§ 2-206](#); [§ 2-104](#); [§ 2-309](#).

### Text and Structure

Subsection (1): a definite and seasonable expression of acceptance, or a written confirmation sent within a reasonable time, operates as an acceptance even though it states terms additional to or different from those offered or agreed upon, unless acceptance is expressly made conditional on assent to the additional or different terms. Subsection (2): the additional terms are construed as proposals for addition to the contract; between merchants they become part of the contract unless (a) the offer expressly limits acceptance to the terms of the offer, (b) they materially alter it, or (c) notification of objection has already been given or is given within a reasonable time after notice of them is received. Subsection (3): conduct by both parties recognizing the existence of a contract establishes one even though the writings do not, and the terms then consist of those on which the writings agree together with supplementary terms incorporated under the Code.

Official Comment 1 identifies two situations the section covers: an agreement reached orally or by informal correspondence and followed by one or both parties sending formal memoranda that add terms, and an exchange of forms in which the offeree's response adds or changes terms. Comment 3 sends the question whether additional or different terms become part of the agreement to subsection (2). Comments 4 and 5 give examples of terms that do and do not materially alter a contract. Comment 6 addresses conflicting clauses in confirming forms. Comment 7 explains subsection (3).

### The Merchant Rule and Consumers

Subsection (2)'s first sentence applies to everyone: additional terms are proposals. The second sentence, which makes proposals part of the contract by default, applies only between merchants, a term § 2-104 defines to include a person who deals in goods of the kind or who by occupation holds itself out as having relevant knowledge or skill. When either party is not a merchant, a proposal becomes part of the contract only if the other party assents to it. *Klocek* applied that rule to a consumer buyer and required express assent, holding that silence, failure to object, and retention of the goods beyond a stated period did not supply it on the record before the court. The merchant rule is therefore the hinge between the commercial cases and the consumer cases: *Bayway*'s presumption of inclusion has no counterpart when the buyer is a consumer.

### **Material Alteration: Burden, Surprise, and Hardship**

Comment 4 defines a material alteration as a term that would result in surprise or hardship if incorporated without the other party's express awareness, and lists examples such as a disclaimer of the implied warranties of merchantability and fitness, a clause reserving the seller's power to cancel on the buyer's failure to meet any invoice when due, and a clause requiring complaints in a time materially shorter than customary or reasonable. Comment 5 lists terms that ordinarily do not materially alter a contract, such as a clause setting a reasonable time for complaints, a clause fixing interest on overdue invoices at customary rates, and a clause limiting remedies in a reasonable manner. The examples are illustrations; *Dorton* treated materiality as a question of fact for the trial court.

*Bayway* settled two operational questions for the Second Circuit. The party opposing inclusion of the term bears the burden of proving material alteration, because subsection (2) makes inclusion the default and the exceptions must be established by the party invoking them. Surprise has a subjective component, what the party actually knew, and an objective component, what a reasonable merchant should have known; the objective component is proved through trade usage, course of dealing, and the parties' own forms. Hardship in *Bayway* was treated as at least doubtful as an independent ground, on Judge Posner's view that hardship is a consequence of a material alteration rather than a criterion, and a party's inability to afford a term it could have avoided did not qualify.

### **Different Terms**

Subsection (1) refers to additional or different terms, and subsection (2) refers only to additional terms. *Northrop* catalogues the three responses. Some courts treat different terms as additional terms and apply the materiality analysis of subsection (2); a materially different term in the acceptance then fails and the offeror's term stands. Others hold that different terms in the acceptance are simply ignored, so the offeror's terms control. The majority, applying what is commonly called the knockout rule, hold that conflicting terms cancel each other and the Code's gap-fillers supply the missing term; Comment 6, which states that where clauses on confirming forms conflict each party is assumed to object to the other's clause and the conflicting terms do not become part of the contract, is frequently cited for this approach. *Northrop* predicted that Illinois would follow the majority, so the seller's 90-day warranty and the buyer's unlimited warranty both dropped out and § 2-309's reasonable-time standard governed. A brief should identify the jurisdiction's approach before classifying a term, because the classification decides the outcome only in a knockout jurisdiction.

### **One Form, Confirmations, and Contracts by Conduct**

*Hill* holds that § 2-207 is irrelevant when there is only one form, treating the section as confined to a battle between two forms. *Klocek* holds the opposite, relying on the statutory reference to "a written confirmation" and on Comment 1's first situation, in which one party's memorandum follows an oral agreement. *Bayway* illustrates the confirmation setting between merchants: the parties agreed by telephone, each sent a confirmation, and the seller's confirmation added a term that became part of the contract under subsection (2) because the buyer could not prove material alteration. The *Hill* and *Klocek* split also reflects a disagreement about who the offeror is. If the vendor is master of the offer and retention is acceptance, no acceptance with additional terms ever occurs; if the purchaser's order is the offer and shipment is acceptance, the terms in the box are additional terms under subsection (2) and, for a consumer, require express assent.

Subsection (3) supplies the fallback when the writings do not form a contract, as in *C. Itoh*, or when a court prefers to rest on conduct. Both parties' performance establishes the contract, and its terms are those on which the writings agree plus the Code's supplementary provisions; a term found in only one writing is excluded.

*Northrop* observed that analyzing the exchange under subsection (3) would have produced the same result as the knockout rule under subsection (2), because both routes replace the conflicting warranties with the Code's default.

### **Application**

Work in order. Identify the offer and the acceptance, or the prior agreement and the confirmation, and decide which document is being measured against which; in a consumer purchase, decide who the offeror is and be prepared to defend the choice, since *Hill* and *Klocek* diverge at that step. Ask whether the response is a definite and seasonable expression of acceptance or a timely confirmation, and whether it is expressly conditional in the strict sense *Dorton* and *C. Itoh* require. If a contract forms under subsection (1), classify each disputed term as additional or different and identify the jurisdiction's approach to different terms.

Determine merchant status; for a non-merchant, additional terms require assent. Between merchants, apply subsection (2)(a) through (c), placing the burden of proving material alteration on the party opposing the term and proving surprise objectively through usage and dealing. If the writings do not form a contract but the parties performed, apply subsection (3) and exclude any term found in only one writing. For a consumer transaction with terms delivered after payment, note that the Restatement of the Law, Consumer Contracts § 2(b) replaces this analysis with a notice-and-exit test that the business must satisfy.